

Growth With Governance

Strong corporate governance can drive India's economic ascent, positioning the country as a global leader in transparency and growth

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AGAINST AN EXTREMELY uncertain global backdrop and rising geopolitical risks, India has increasingly been in the spotlight as the fastest-growing major economy.

I am highly optimistic about the future of our economy. India's economic growth has exceeded global expectations, driven by a confluence of factors such as sound government policies, strong macro-economic fundamentals, inherent domestic demand, timely regulatory interventions, and ongoing reforms that have ensured long-term growth.

India's key differentiating factor is its scale and pace of growth. It took India 60 years to become a \$1-trillion economy in 2007. The next major leap came eight years later in 2015 when the Indian economy doubled to \$2-trillion. Since then, growth has accelerated dramatically despite the brief disruption caused by Covid-19.

By the end of this year, India will be nearly a \$4-trillion economy and is well on its way to becoming the world's fourth-largest economy by



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overtaking Japan.

Foreign investors are recognising India's growth potential. India's GDP grew by 8.2% for FY24 and is projected to grow by 7.2% in FY25. This compares with a GDP growth rate of around 4% for all emerging markets and an even lower growth rate for the developed world.

In my view, both the government and the Reserve Bank of India (RBI) have done an outstanding job in managing the economy over the last four years. This has significantly contributed to India's position as the fastest-growing major economy in the world.

I genuinely believe that there is no better place to be than India right now. I regularly engage with international investors, and their feedback about India is overwhelmingly positive. Foreigners are increasingly seeing India as the new growth engine of the world economy. Moreover, India's image has improved significantly over the last decade, largely due to efforts to enhance the business environment through greater transparency and a stable, fair regulatory framework.

India's strength in the global economy is underscored by the fact that no other economy today has the capacity to absorb the scale of investments that India can or offers the growth potential that India provides.

With its vast consumer base, young workforce, expanding middle